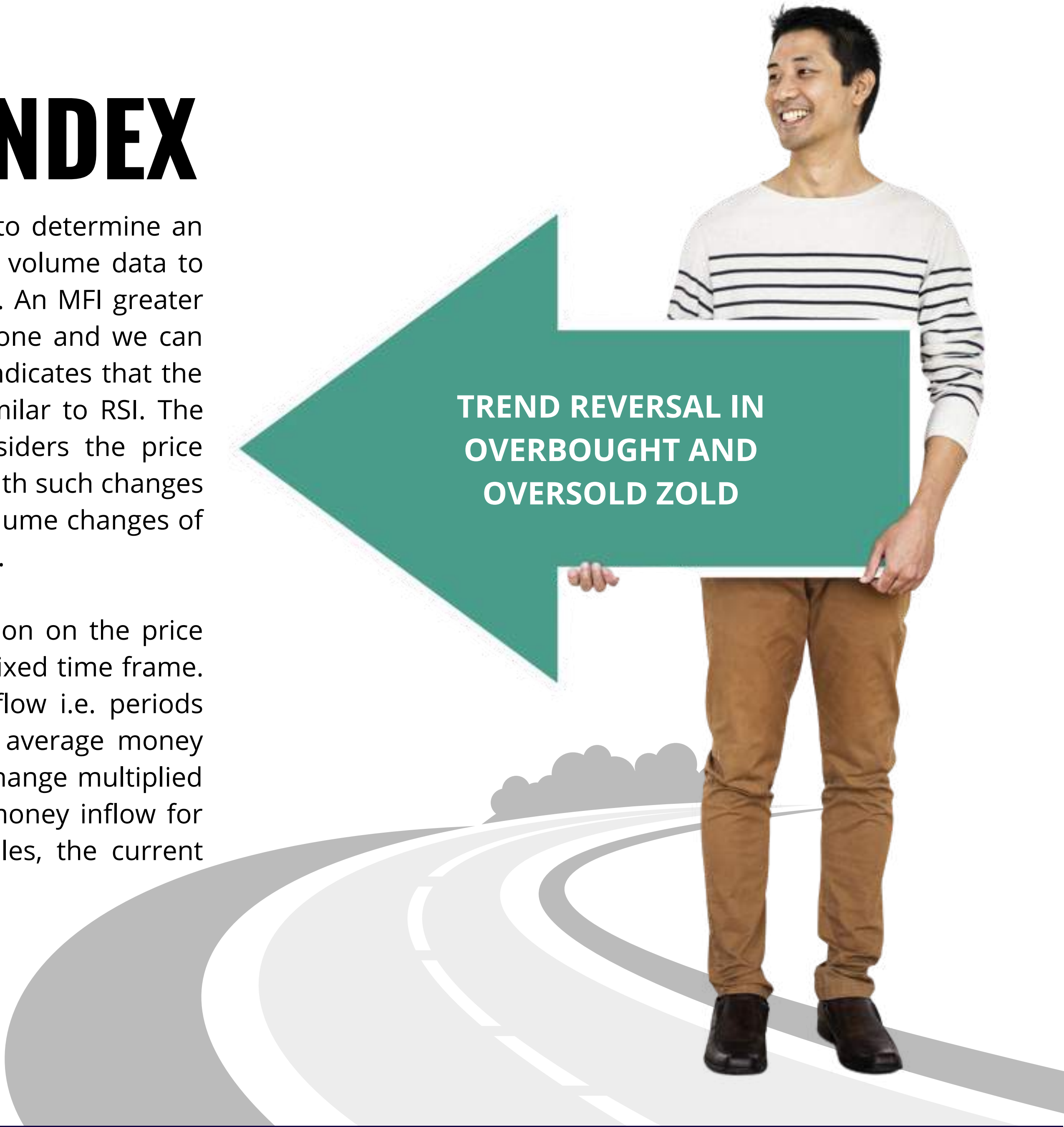
# 8 MONEY FLOW INDEX




Money Flow Index is a technical oscillator that is used to determine an oversold or overbought asset. MFI uses both price and volume data to determine its value and it oscillates between 0 and 100. An MFI greater than 70 indicates that the asset is in the overbought zone and we can expect a reversal soon whereas an MFI lower than 30 indicates that the asset is in the oversold zone. In many ways, MFI is similar to RSI. The difference between the two is that the RSI only considers the price movement of the asset and not the volume associated with such changes whereas, MFI takes into consideration both price and volume changes of the asset. MFI is also at times called volume-weighted RSI.

MFI is calculated by conducting a mathematical operation on the price and volume data of the asset. It begins with defining a fixed time frame. Then it segregates periods where there is money outflow i.e. periods when prices went up or down. Then, it calculates the average money outflow for periods when prices went down, i.e. price change multiplied by volume change. Similarly, it calculates the average money inflow for periods when prices went up. Using these two variables, the current value of MFI is calculated.